

If Tim had figured out his risk tolerance prior to deciding to invest almost all of his money into a business venture, he probably would have determined that he was “aggressive.” He was willing to accept a high level of risk in return for potentially large profits. Unfortunately, Tim’s profits never materialized.

The Big One

The human tendency to spend more when more is available can be dangerous when “more” is not just a raise in salary but a huge bonus. By always living to the maximum extent of our income, we not only make saving impossible, but we also establish a behavioral pattern that is difficult to change. The only way to prevent such behavior is to restrict access to your own money. If it cannot be touched, it cannot be spent.

Patty was a sophomore in college and had just turned twenty. Her grandmother raised her after both of Patty’s parents died in a car accident when she was six. Although Patty’s grandmother did not have the money to fund her college tuition, she did indirectly pay for her room and board. When her grandmother decided to move into an assisted living facility, she deeded the house to Patty instead of selling it. The house was near her college campus, a big advantage to Patty.

Patty’s house was located in Northridge California in an area that experienced earthquakes on a regular basis. Living in California, the expression “the big one” refers not to a hefty hamburger but to the fear of a large-scale earthquake that will one day wreak widespread destruction. In fear of this day, most homeowners make sure they have earthquake policies on their homes to prepare for this imminent disaster.

Disasters, like earthquakes, are life events that no one ever wants to experience. We prefer to stay in denial and think that disasters happen to other people and not to us. This attitude is irrational, especially if you live in an earthquake or hurricane

